

Gerresheimer AG **GXI GR**September 08, 2026 - 7:43am EST
by

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			2026	2027
Price:	28.00	EPS	0	0
Shares Out. (in M):	35	P/E	0	0
Market Cap (in \$M):	1,100	P/FCF	0	0
Net Debt (in \$M):	800	EBIT	0	0
TEV (in \$M):	1,900	TEV/EBIT	0	0

Description

Long Gerresheimer (ticker: GXI GR)*70% upside vs. (25%) downside***Note:** This memo was written by a human for a human, not an A.I.**Company description:**

German-based Gerresheimer is a Euro 2 billion revenue maker of specialty packaging primarily serving the global pharmaceutical industry. Key products include ready-to-file syringes for biologic drugs and auto-injectors and other devices for GLP-1s. The company recently announced divestitures that will enable debt paydown, with plans to sell a final non-core segment to position itself as a pure-play medical device/packaging player.

References statistics:

- Share price (09/02/26): Euro 28 per share
- 52-week high / low: Euro 45 per share / Euro 15 per share
- Market cap.: Euro 1 billion
- Net leverage: ~Euro 0.7 billion (2.5x EBITDA) (pro forma for announced divestitures)
- ADTV: ~Euro 8 million

“Any major dude, with half a heart, surely will tell you, my friend

Any minor world that breaks apart, falls together again

When the demon is at your door,

In the morning, it won't be there no more”

- Steely Dan's “Any Major Dude Will Tell You”^[1]

Trade summary:

German-based global packaging maker Gerresheimer has experienced a rough few years. The stock is down ~80% from its 2023 peak and trades around the same level it did in 2010. Gerresheimer's current <1x sales and <6x EBITDA valuations are levels reserved for over-levered, secularly impaired packagers. The miserable share price performance and valuation reflect myriad problems:

- Accounting scandal and delay in publishing in financials;
- Lousy acquisition driving unsustainable financial leverage (>5x); and,
- Multi-year growth capex binge with delayed returns.

It would be unfortunate to have any one of these problems, but a company that has all of them would be “uninvestable.”^[2] If the reader is already feeling queasy at the thought of investing in the Trifecta cited above, I'm sure the next write-up will be more inviting (maybe a nice spectrum trade or a stealth play on data center power). No judgments.

For the intrepid who kept reading, Gerresheimer is interesting because it is highly likely to move from “uninvestable” to “investable.” (That last sentence is really the crux of the thesis.) Those who were smart enough (or insane enough) to scoop shares this spring around Euro 16 per share are up ~75% after Gerresheimer filed audited 2025 financials and announced Euro 1.5 billion of divestitures to take leverage <3x.^[3] But that was a different trade, requiring a much bolder bet. Today the risk-reward is arguably more attractive because Gerresheimer has addressed the key existential risks—can investors trust the numbers and can Gerresheimer pay its debts on time—and is on a path to emerge from “uninvestable” purgatory. Moreover, Gerresheimer will begin to benefit from its extended capex investment cycle, at a minimum as cash flow conversion normalizes and potentially as volume ramps at greenfield/expansion plants.

This memo will not address every question a reader may have, in part because the situation is still hazy: Gerresheimer's latest financials are as of March 31, 2026, the company hasn't provided financials pro forma for the divestitures, the interim CEO just left, and German financial regulator BaFin hasn't formally “cleared” the company. However, based on two decades of advising/investing in packaging companies and recent interviews with former executives, it seems likely that the restructured Gerresheimer is a much better business than the market credits today.

Evidencing the inherent value, in March/April 2026, *Reuters* reported that U.S. packaging maker Silgan (~\$9 billion TEV) offered to buy Gerresheimer for Euro 41 per share but was rejected.^[4] This offer was *before* Gerresheimer's announced asset divestitures in July 2026. If we give Gerresheimer's board some credit, their decision implies that investors were better served by turning down the easy offramp—a 100% premium sounds pretty good—to triage the business and re-focus around medical packaging and devices. There is some logic to this as a blended multiple of peers implies a share price of Euro 50 per share or higher. The potential downside from here requires a little creativity, but a good proxy would be valuation multiples for Owens-Illinois, an over-levered glass packaging pure-play.^[5]

Using Euro 41-50 per share as upside and Euro 21 per share as downside, based on Owens-Illinois, Gerresheimer offers a 3 up, 1 down return (+70% vs. down 25%). While Silgan could come back to finish the job, a more likely scenario is that Gerresheimer's multiple expands as it begins to become a “normal company” again—i.e., publishing financials on time and not spending half its conference calls discussing covenant waivers and accounting restatements—with further upside from divesting its non-core moulded glass division and, potentially, seeing a return on its GLP-1 capacity expansions. Beyond the crummy sentiment implied by the current valuation, ~4.5 million shares are still sold short, a whopping 24x ADTV, creating a natural buyer of the stock as the company becomes “investable” again.^[6]

Gerresheimer - pro forma for Centor/PPP divests

(Euro in millions, except per share amounts)

	Today	Q-1 multiple		Reported Silgan offer Mar/Apr '26				Blended peer multiples
Stock price	€ 27.70	€ 21.00	€ 25.00	€ 30.00	€ 35.00	€ 41.00	€ 50.00	
Premium(discount) to current stock price		(24.2%)	(9.7%)	8.3%	26.4%	48.0%	80.5%	
Shares outs:	34.5	34.5	34.5	34.5	34.5	34.5	34.5	
Equity value	€ 957	€ 725	€ 864	€ 1,036	€ 1,209	€ 1,416	€ 1,727	
Net debt at Q1-26 end	€ 1,955							
Less: est. net proceeds from Centor/PPP divest ^(a)	(€ 1,275)							
Pro forma net debt	€ 680	€ 680	€ 680	€ 680	€ 680	€ 680	€ 680	
Leverage (2026E)	2.5x							
TEV	€ 1,637	€ 1,405	€ 1,544	€ 1,716	€ 1,889	€ 2,096	€ 2,407	
Valuation multiples:								
TEV to 2026E sales ^(b)	€ 1,764	0.93x	0.80x	0.88x	0.97x	1.07x	1.19x	1.36x
TEV to 2027E sales ^(b)	1,761	0.93x	0.80x	0.88x	0.97x	1.07x	1.19x	1.37x
TEV to 2026E EBITDA ^(b)	€ 268	6.1x	5.3x	5.8x	6.4x	7.1x	7.8x	9.0x
TEV to 2027E EBITDA ^(b)	281	5.8x	5.0x	5.5x	6.1x	6.7x	7.5x	8.6x
Memo: 2026E EBITDA margin		15.2%						
FCF yield at 8% (EBITDA - capex)/sales ^(c)	€ 84	8.8%	11.6%	9.8%	8.1%	7.0%	6.0%	4.9%
FCF yield, 11.5% (EBITDA - capex)/sales ^(c)	133	13.9%	18.4%	15.4%	12.8%	11.0%	9.4%	7.7%

Notes:

(a) Assumes ~15% tax and other leakage on Eur 1.5 billion sale.

(b) Assumes divested sales of Euro 570 million and Euro 580 million in 2026E and 2027E, respectively, and 25% EBITDA margin on divested sales.

(c) 8% is based on the current estimated pro forma level and 11.5% is based on Gerresheimer historically and a wide universe of peer companies.

Gerresheimer cleans house:

Gerresheimer has spent the better part of a year addressing the first two problems cited in this memo.

Accounting scandal

In September 2025, German financial regulatory BaFin opened a formal investigation into Gerresheimer's accounting practices based on whistleblower allegations around "bill-and-hold" agreements. Following internal investigations, including outside legal and audit firms, Gerresheimer's sins were revealed to go beyond aggressive revenue recognition (the bill-and-hold agreements) to inventory accounting problems as well. The overhang on the stock was considerable. Beyond the obvious—the uncertainty over the degree to which Gerresheimer was "cooking the books"—the restatement process required Gerresheimer to delay Q4 2025 results for months, with investors going almost *nine months* without any financial results being reported.^[17]

On June 29, 2026, Gerresheimer at long last reported its 2025 financial results, including a clean audit. The accounting restatement was substantial—a ~2% reduction in 2024 revenue and ~7% reduction in 2024 EBITDA—but it wasn't Wirecard or Volkswagen Dieselgate.^[18] Hitting on the theme of "uninvestable," it is difficult to invest in a company that isn't actually reporting its financial results. In a recent conversation with IR, the company notes that while BaFin hasn't formally ended its investigation, the company has been proactive and cooperated fully. It is important to understand that the largest BaFin fine of a non-bank entity was a Euro 11 million fine levied against Steinhoff, a multi-billion-dollar scandal similar to Enron in its audacity that led to the liquidation of the company.^[19] The point is that BaFin is not going to shut Gerresheimer down and any fines will be manageable.

Lousy acquisition and ballooning leverage

In late 2024, Gerresheimer acquired Bormioli Pharma for Euro 800 million from its private equity owner. Along with Gerresheimer's sizeable organic capex (see next section), the Bormioli deal pushed leverage up to nearly 4x, creating little margin for error.^[10] On its face, the Bormioli deal didn't look terrible, at a 10x valuation for a business with 21% EBITDA margins and strategic and financial synergies.^[11] Part of the rationale was combining Bormioli's moulded glass business with Gerresheimer's to create more scale:

"Following the integration, the acquisition will create a new, strong Moulded Glass business unit, with new options for a strategic reset for best growth prospects and competitiveness. The combined molded glass business would generate pro forma sales of around EUR 750 million in 2024 with an EBITDA margin of around 21% before synergies."^[12]

The thinking was that Gerresheimer could create a more scaled business that could be separated post-integration, a plan the company formally announced not long after the deal closed.^[13] With hindsight, Gerresheimer just made its moulded glass problem bigger.^[14] For instance, while Q1 2026 is likely a low watermark because Gerresheimer intentionally traded profit margin for cash flow, moulded glass segment EBITDA margin was 4.5% in Q1 2026 vs. ~20% in 2025.^[15] As referenced earlier, Owens-Illinois is a glass pure-play and its 50% stock price decline this year illustrates the impairment of this business.

As moulded glass struggled, Gerresheimer's leverage continued to rise, especially as the return on growth investments were slow to come. To address the balance sheet risk, Gerresheimer put the sale of moulded glass on hold and announced in February 2026 its intention to sell its Centor business (U.S.-based plastic packaging for prescription drugs).^[16] On July 29, 2026, Gerresheimer announced an agreement to sell Centor and its primary packaging plastics (PPP) business to private equity firm Apax in a Euro 1.5 billion deal.^[17] While Gerresheimer has not disclosed the exact EBITDA of the divested assets, the company disclosed revenue of Euro 570 million and analysts have generally pointed to margins in the mid 20% range (e.g., ~25%).^[18] This points to a 10-11x sale multiple and IR has suggested tax leakage of ~Euro 100 million.^[19] The deal will solve Gerresheimer's balance sheet problem, taking leverage well below 3x.

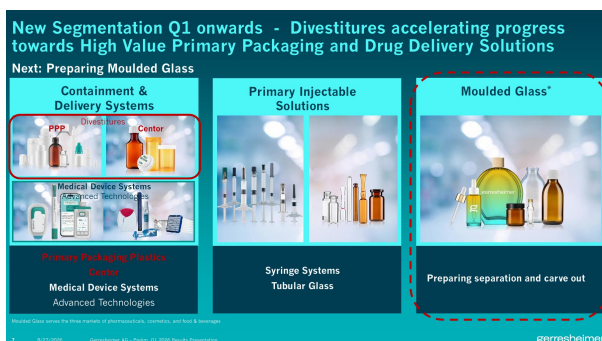
While it's unfortunate that Gerresheimer was forced to sell an attractive, market-leading business like Centor to address its balance sheet strain, the price is respectable and it gives the company flexibility to capitalize on its remaining medical packaging assets. Further, Gerresheimer is still committed to divesting its moulded glass assets—the combined Bormioli and legacy Gerresheimer plants—but now it has a more realistic timeline to integrate and divest the business.

How attractive is the "new Gerresheimer"?

The prior section described Gerresheimer's work to stabilize the company, but a logical question for investors today is: what are the restructured company's key product lines, business drivers, and earnings power, and is this a business worth owning? The discussion below describes the profile of Gerresheimer's portfolio post the sale of Centor/PPP, with a focus on the medical devices, injection systems, and other pharmaceutical packaging that will represent more than 60% of pro forma sales and 100% when moulded glass is sold.^[20]

The graphic below shows Gerresheimer's new segments.^[21] It also helps to know the specific products underlying the segments:^[22]

- **Medical device systems and advanced technologies:** auto-injectors, injection pens, inhalation devices, on-body infusion pumps, and digital platforms to monitor dosage/intake;
- **Syringe systems and tubular glass:** bulk and ready-to-fill (RTF) syringes, bulk and RTF vials, ampoules, and cartridges; and,
- **Moulded glass:** glass bottles for pharma, food and beverage, and cosmetics.



The list of products above demonstrates that the new Gerresheimer is a medical packaging company—a pure-play once moulded glass is sold. Gerresheimer is a key supplier to makers of GLP-1 drugs, however, it is worth understanding the full spectrum of business drivers behind these products:

- **Rapid growth in GLP-1s for obesity and diabetes.** Gerresheimer participates in all subcutaneous forms of GLP-1s, including via syringes, cartridges, manual injection pens, and the more advanced auto-injectors. Lilly is a key customer, but Gerresheimer also serves Novo.^[23] The GLP-1 market has expanded rapidly and Gerresheimer is one of a handful of providers of delivery systems, competing with players like Schott Pharma and West Pharmaceuticals.^[24]
- **Growth in biologic drugs more generally.** Biologic (and biosimilar) drugs often contain active ingredients and/or require administration that require more complex drug delivery systems. Aside from GLP-1s, think of cancer treatments, cell and gene therapies, or innovations in epinephrine devices.^[25] These forms of packaging are growing faster and are higher value/ASP given their complexity and higher share of self-administration.
- **Conversion of bulk packaging to ready-to-fill (RTF) syringes and vials.** Gerresheimer was one of the leading players in converting bulk syringes to sterile RTF syringes, a major upgrade to customers' workflow, compliance, and cost of production. This trend has established Gerresheimer as a key supplier, creating sticky relationships.

A general throughline in all of three of the trends above is that pharmaceuticals increasingly require more complex delivery systems, creating the need for global packaging suppliers with greater technical knowhow and more advanced production facilities. These suppliers have increasingly become “partners” given the need to co-develop bespoke systems and then scale production capacity. The result is that Gerresheimer's sales are tied to secular growth trends driving organic mid to high single digit revenue growth, quite favorable compared to most packagers tied to sluggish CPG trends.^[26]

As strong as Gerresheimer's growth drivers are, there is another side to its reliance on the pharmaceutical space. While Gerresheimer was investing to ramp GLP-1 production, it has experienced a prolonged drawdown in Covid-related demand for some of its other products. For instance, from 2020 through 2023, Gerresheimer's revenue expanded a staggering ~40%—from Euro 1.4 billion to Euro 2.0 billion—driven almost exclusively by organic growth (~5% was FX).^[27] The company did not do a good job of signaling to the market that this level of growth was unsustainable, possibly because management was surprised itself. An interview with a former vice president who left in late 2025 opined:

“Covid actually faded out much quicker than expected, and I think we kind of overplayed our hand maybe in a certain way, expecting things to last longer. On top of that, Covid changed the ordering pattern of pharmaceutical companies, meaning they very quickly learned that the pharma packaging industry, especially in glass, had a lot of spare capacity, and that actually led to changing their ordering pattern, making sure that they were reducing the safety stocks.”^[28]

Gerresheimer's reliance on mega-cap global pharmaceutical customers has created another challenge as most of the spending to support GLP-1 growth has occurred in advance of much of the demand/volume. For instance, Gerresheimer capex from 2023 through 2025 averaged ~Euro 335 million per annum or 16% of sales compared to 8-9% of sales a decade ago and peers ~6-7% of sales.^[29] For instance, Gerresheimer announced ~Euro 360 million of spend (over multiple years) to expand two facilities tied to GLP-1 growth in North America, in Peachtree City, Georgia and Querétaro, Mexico, and one facility in Europe, Skopje, North Macedonia.^[30] These investments will likely support years of profitable growth, however, the ramp has been slower than management anticipated. As described by a recent former executive:

“Peachtree City is a pure medical device facility, and the expansion that has happened was for the majority of it done for one specific customer and was in that way also secured by, let's say, underlying business agreements. Okay? So, what do I mean by that? That specific customer said, you know what, we need 100 million devices or 500 million devices by 2026, 2027, 2028, 2029. And that is when Gerresheimer started building a plan to expand that facility, expand capacity for that specific customer. So, there's basically no business risk in that facility at all. So basically, [an] expansion fully supported by a well-tied customer project or even two or three projects. Okay? So, very limited to no business risks.”^[31]

Then we go to North Macedonia in Skopje. That is actually what I'd call a hybrid facility. Why do I say that? They do both devices as well as primary packaging glass, syringes over there. Now, I know that for the devices, that is also based on customer contracts, while for the syringes, there was actually the intention to serve as a lower-cost, high-volume production facility to serve two main markets, being GLP-1 as well as [RTF]. There is a plant which today, at least when I left, was not 100% sold out, but I do know that there were a lot of discussions ongoing with high-level or A accounts where they were very close to signing the contracts. Now, I don't know how that is today, where they stand exactly. I can't tell you that in detail, but I would be surprised if in a year or two years from now that facility would also not be fully filled up. That's on the second one.

And then the third one you referred to was the one in Mexico. You need to know that that is probably there to stay, one of the biggest primary packaging facilities that Gerresheimer has in its portfolio, and that has grown a lot over the last couple of years to serve the North American market with primary packaging, tubular glass, meaning vials, cartridges, ampoules, etc. And in parallel, they also added syringe capacity. Why? Because at the time, the only syringe capacity that was installed was actually in Bünde in Germany. We then expanded to Skopje, which we just referred to, and then the last facility was the one in Mexico, which was the North American market. Also there, business is picking up, or was picking up at least when I left, but I'm not sure what the exact situation is today.”^[32]

A logical question is whether Gerresheimer's GLP-1 revenue is just delayed, or it is a sign of impairment amid the launch of oral (i.e., pill) GLP-1s. Investors can take comfort from what the drug makers are saying and how people are adopting these drugs.

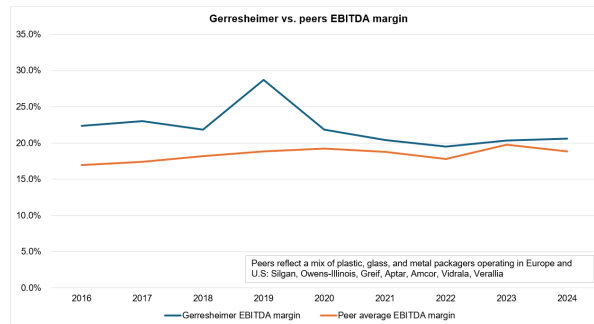
- “The initial results of competitor Novo Nordisk's oral GLP-1 pill—which hit the U.S. market in January—indicate that 90% of patients are new users of the treatment class, Lilly CFO Lucas Montarce tells Axios. There's ‘not a lot of switching taking place,’ Montarce said Wednesday in an interview. It ‘mainly is actually a market expansion.’”^[33]
- Lilly's CFO during the Q2 2026 earnings call: “the early uptake of oral GLP-1s has been encouraging, expanding the market of people who are taking incretin therapy. Additionally, injectable incretins continue to be an important growth driver and account for three out of four new patient starts.” And Lilly's EVP on the same call: “we're seeing a significant preference towards injectable, probably around 80% of people that are getting treatment are injectable, but we're seeing new patients for both.”^[34]

Baseline earnings power:

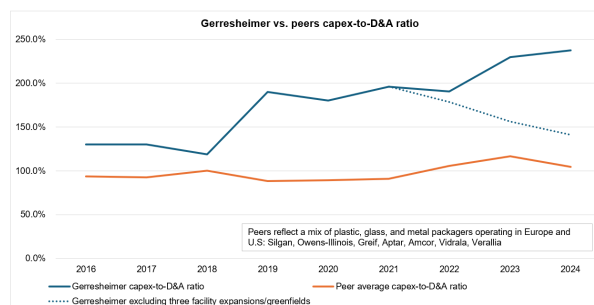
The Covid run-up and drawdown in Gerresheimer's sales since 2020 make it difficult to extract a baseline revenue growth. However, the revenue CAGR from 2016 through 2024 was ~5% and Gerresheimer, its competitors, and analysts have pointed to mid to high single digit revenue growth over the medium term.^[35] The exhibits below benchmark Gerresheimer from 2016 through 2024, which is the period that preceded the acquisition of Bormioli (the deal closed in December 2024).^[36]

Gerresheimer benchmarking													Assumed	2024
(Values in million)													Capex or	Capex as
	2016	2017	2018	2019	2020	2021	2022	2023	2024				margin	of sales
Revenue	€ 1,376	€ 1,348	€ 1,368	€ 1,382	€ 1,419	€ 1,488	€ 1,818	€ 1,991	€ 2,036				5.0%	€ 550
% growth		(2.0%)	1.4%	1.0%	1.9%	5.0%	21.3%	9.3%	2.3%					
EBITDA	€ 368	€ 311	€ 299	€ 287	€ 310	€ 390	€ 354	€ 405	€ 419				19.0%	€ 138
% margin	22.4%	23.1%	21.8%	20.7%	21.9%	26.4%	19.5%	20.3%	20.6%					25.0%
D&A	€ 87	€ 91	€ 97	€ 97	€ 111	€ 104	€ 127	€ 143	€ 156					€ 110
Capex	€ 113	€ 119	€ 115	€ 105	€ 200	€ 242	€ 328	€ 370	€ 370				10.0%	€ 105
% of sales	8.2%	8.8%	8.4%	7.6%	14.1%	16.3%	18.1%	19.1%	18.2%					11.1%
% of D&A	130.3%	130.9%	128.9%	108.2%	180.1%	196.0%	259.0%	227.0%	178.1%					150.0%
EBITDA - capex	€ 195	€ 192	€ 184	€ 215	€ 111	€ 102	€ 113	€ 77	€ 50				(15.7%)	€ 117
% of sales	14.1%	14.2%	13.4%	15.4%	7.8%	6.9%	6.2%	3.9%	2.4%					8.4%
EBITDA - capex % of sales	10.9%	11.1%	11.0%	12.5%	12.8%	12.7%	11.0%	12.9%	12.2%					12.0%
EBITDA % margin	17.0%	17.4%	18.2%	18.0%	19.3%	18.8%	17.8%	19.8%	18.8%					18.4%
Capex % of sales	8.0%	8.8%	8.4%	7.6%	14.1%	16.3%	18.1%	19.1%	18.2%					11.1%
Capex % of D&A	83.0%	82.8%	100.2%	88.4%	89.1%	91.2%	105.0%	118.7%	104.4%					98.0%
EBITDA - capex % of sales	10.9%	11.1%	11.0%	12.5%	12.8%	12.7%	11.0%	12.9%	12.2%					12.0%

It is easier to see Gerresheimer's above average EBITDA margins in the following chart based on the data above.



While Gerresheimer's revenue growth is very attractive—mid single digit growth well exceeds most packagers' low single digit growth—and its EBITDA margin screen well versus peers, the capital intensity sticks out like a sore thumb (e.g., mid-teens capex to sales). The previous discussion of the GLP-1 buildout should address some of the concern, especially the comments from a former executive that contracts have multi-year volume commitments.^[37] And the following chart uses the same benchmarking data above but also shows Gerresheimer's capex-to-D&A ratio excluding the identified growth capex at the three facilities discussed earlier. The result is a more normalized capital intensity, which strongly suggests Gerresheimer can eventually return to the historical 8-10% capex to sales ratio, which would drive an 11-12% (EBITDA - capex) to sales ratio, inline with peers (but higher quality because of the superior topline growth).

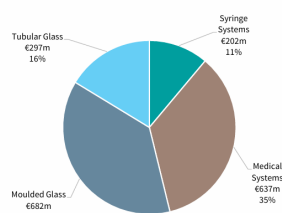


The bottom-line is that the new Gerresheimer, which includes moulded glass until its divestiture, is mid-single digit topline growth, with ~20% EBITDA margins, and line-of-sight to 11-12% (EBITDA - capex) to sales.

New Gerresheimer trades at deep valuation discount:

Sum-of-the-parts valuation methodologies are often unreliable, for a variety of reasons.^[38] That said, a good rule of thumb in packaging is that when a vast majority of a company's sales/EBITDA are from one segment (i.e., say ~70% plus) that business' valuation regime should take priority.^[39] In the case of Gerresheimer, over 60% of pro forma sales come from high-growth medical products. Barclays recently forecast the following mix estimates:^[40]

FY27E Revenue Split Ex-Centor and PPP



Source: Company data, Barclays Research estimates

Further, Gerresheimer has indicated it is carving out moulded glass to sell the business. Despite this, the market currently ascribes the same multiple to new Gerresheimer as it does to pureplay glass makers like Owens-Illinois, Verallia, and Vidrala.

Gerresheimer peer valuations													
(Local currency in millions, except per share amounts)													
Company	Ticker	Currency	Share price	Equity value	TEV	TEV to sales		TEV to EBITDA		FCF yield		CY 20E EBITDA margin	Net leverage
						CY 20E	CY 27E	CY 20E	CY 27E	CY 20E	CY 27E		
Medical packaging													
AptarGroup	ATR US	USD	130.33	8,287	9,503	2.39x	2.29x	11.3x	10.7x	4.3%	5.0%	21.1%	1.5x
						3,978	4,120	840	887	355	416		
SCHOTT Pharma	ISXP GR	EUR	23.25	3,502	3,551	3.37x	3.15x	12.5x	11.3x	3.3%	3.7%	27.1%	0.2x
						1,063	1,127	285	315	114	131		
West Pharma Services	WST US	USD	342.63	24,113	23,880	7.08x	6.60x	25.5x	23.1x	2.0%	2.4%	27.7%	(0.1x)
						3,374	3,586	936	1,035	472	590		
Average of Aptar / SCHOTT multiple (excludes West)									11.9x	4.4%			
Glass makers													
Owens-Illinois	OI US	USD	7.07	1,086	5,807	0.92x	0.90x	5.6x	4.9x	n/m	16.0%	16.4%	4.1x
						6,381	6,525	1,044	1,200	n/m	174		
Veralis	VSLA FP	EUR	19.24	2,324	4,118	1.23x	1.21x	5.9x	5.5x	8.0%	11.5%	20.9%	2.1x
						3,339	3,402	698	755	187	207		
Vidiale	VID SM	EUR	88.70	3,123	3,315	2.16x	2.13x	7.3x	7.1x	6.3%	7.5%	29.8%	0.7x
						1,519	1,554	452	489	197	234		
Average of glass makers									6.3x	11.7%			
50/50 weighting of medical packaging and glass makers									9.1x	8.9%			
Gerresheimer - pro forma for sale of Centor/PPP													
			27.70	807	1,637	0.93x	0.93x	6.1x	5.8x	n/m	13.9%	15.2%	2.5x
						1,764	1,761	268	281	n/m	133	**	
** At 11.5% (EBITDA - capex) / sales													

As shown, a blend of peer multiples implies ~80% upside. While the 80% upside may require the completed sale of moulded glass, a more realistic base case is that Gerresheimer's EBITDA multiple expands 1-2x as the company becomes "investable" again, capex normalizes, and its recently expanded facilities demonstrate better utilization.

Gerresheimer - pro forma for Centor/PPP divests								
(Euro in millions, except per share amounts)								
	Today	O-I multiple				Reported Silgan offer Mar/Apr '26	Blended peer multiples	
Stock price	€ 27.70	€ 21.00	€ 25.00	€ 30.00	€ 35.00	€ 41.00	€ 50.00	
Premium(discount) to current stock price		(24.2%)	(9.7%)	8.3%	26.4%	48.0%	80.5%	
Shares out.	34.5	34.5	34.5	34.5	34.5	34.5	34.5	
Equity value	€ 957	€ 725	€ 864	€ 1,036	€ 1,209	€ 1,416	€ 1,727	
Net debt at Q1-26 and Less: est. net proceeds from Centor/PPP divest ^(a)	€ 1,955 (€ 1,275)	€ 680	€ 680	€ 680	€ 680	€ 680	€ 680	
Pro forma net debt	€ 680	2.5x						
Leverage (2026E)								
TEV	€ 1,637	€ 1,405	€ 1,544	€ 1,716	€ 1,889	€ 2,096	€ 2,407	
Valuation multiples:		Metric:						
TEV to 2026E sales ^(b)	€ 1,764	0.93x	0.80x	0.88x	0.97x	1.07x	1.19x	1.36x
TEV to 2027E sales ^(b)	1,761	0.93x	0.80x	0.88x	0.97x	1.07x	1.19x	1.37x
TEV to 2026E EBITDA ^(a)	€ 268	6.1x	5.3x	5.8x	6.4x	7.1x	7.8x	9.0x
TEV to 2027E EBITDA ^(a)	281	5.8x	5.0x	5.5x	6.1x	6.7x	7.5x	8.6x
Memo: 2026E EBITDA margin		15.2%						
FCF yield at 8% (EBITDA - capex)/sales ^(c)	€ 84	8.8%	11.6%	9.8%	8.1%	7.0%	6.0%	4.9%
FCF yield, 11.5% (EBITDA - capex)/sales ^(c)	133	13.9%	18.4%	15.4%	12.6%	11.0%	9.4%	7.7%

Notes:
(a) Assumes ~15% tax and other leakage on Eur 1.5 billion sale.
(b) Assumes divested sales of Euro 570 million and Euro 580 million in 2026E and 2027E, respectively, and 25% EBITDA margin on divested sales.
(c) 8% is based on the current estimated pro forma level and 11.5% is based on Gerresheimer historically and a wide universe of peer companies.

At the beginning of this memo, Silgan's Euro 41 per share takeover offer in March 2026 was discussed.^[41] While this does point to the strategic value of Gerresheimer's assets, a takeover is not part of the underwriting case. However, recently Bloomberg reported on takeover interest in a private pure-play medical device peers, Nemera.^[42]

08/28/2026 11:01:57 [BN] Bloomberg News

Astorg, Montagu Said to Eye Sale of GLP-1 Pen Maker Nemera

By Swetha Gopinath and Dinesh Nair

(Bloomberg) -- The private equity owners of Nemera, which produces delivery devices for popular new weight-loss drugs, are in the early stages of exploring a sale of their majority stake, according to people familiar with the matter.

Astorg Partners and Montagu Private Equity are talking to advisers about a potential sale that could value the company at roughly €3 billion (\$3.5 billion), the people said, asking not to be identified discussing confidential information. The process is expected to kick off in the coming months, the people added.

Representatives for Astorg and Montagu declined to comment. Last year, the firms brought in LGT Capital Partners as a minority shareholder in Nemera.

Based in France, Nemera makes drug delivery devices including auto-injectors, pens, inhalers, eye droppers and pumps. It has manufacturing sites in the US, France, Germany, Poland and Brazil, and is expanding to meet demand for devices aimed at GLP-1 weight loss drugs and insulin therapies.

GLP-1 drugs, which include blockbuster such as Novo Nordisk A/S' Wegovy and Eli Lilly & Co.'s Zepbound, have become spectacularly popular. However, pill versions of GLP-1s are quickly gaining market share.

The referenced valuation of Euro 3 billion would compare to Nemera's 2025 revenue of ~Euro 700 million.^[43] While press reports indicate Nemera is growing rapidly, the >4x revenue multiple may be relevant to what a buyer would pay for Gerresheimer's Euro 600 million-plus medical systems sales. At the very least, the Nemera valuation suggests that Gerresheimer's <1x sales multiple today doesn't reflect the value that others see in his business. Interestingly, an old Gerresheimer investor presentation shows that it compares favorably to Nemera's product suite.^[44]

Diversified Product Portfolio
Competitive Landscape

Product Company	Plastic Packaging	Inhalation (DPI) ¹	Diabetes Drug/device ¹	Pens	Syringe Systems	MD Pharma (Type I & II)	Lipids and Syringe (Type I & II)	TG Injectables	Pumps/Devices
Gerresheimer	✓	✓	✓	✓	✓	✓	✓	✓	✓
Schott					✓			✓	
Becton Dickinson ¹			✓		✓				
Nipro ²				✓	✓			✓	
Orin (Owens)				✓					✓
Jalil ³ (Nipro)	✓	✓	✓	✓					
Comet Medical (Reckapharm)		✓		✓					
West Pharma ⁴					(✓)				✓
Nemera	✓	✓		✓					✓
Berry Plastics ⁵	✓								
Faest			✓						
Tymwell				✓					✓
SID						✓	✓		
Rosco Biorelco	✓					✓	✓		
Inuulet					✓				✓
Shandong Wego					✓				

¹ Public company I. 2. DPI = Dry Powder Inhaler (World market). 3. Lancets and lancing devices
Source: Company estimates
48 10/25 Gerresheimer AG Investor Presentation

Risks and unknowns:

As mentioned at the outset of the memo, many risks and unknowns remain to the Gerresheimer investment story, including:

- Identifying a permanent CEO. In late August 2026, Gerresheimer's interim CEO Uwe Röhrhoff stepped down earlier than expected, with CFO Wolf Lehmann and business head Achim Schalk assuming the CEO duties on an interim basis.^[45] Notwithstanding the disruption of another CEO departure, Mr. Röhrhoff had always indicated his role was temporary (he had been CEO from 2010-2017 and took on the role again to fix the account and balance sheet problems).^[46] Further, Gerresheimer's CFO Mr. Lehmann may be well-suited for the current period because prior to joining the company in September 2025, he was an operating partner at the Triton, the private equity firm that sold Bormioli to Gerresheimer.^[47]

- **Moulded glass stabilization and sale.** Gerresheimer has indicated it is carving out moulded glass ahead of a sale in 2027.^[48] Yet, the business is struggling, and the timing and valuation of a divestiture are both question marks. Even so, given this business' low valuation multiple and Gerresheimer's low whole-company trading multiple, the more important aspect may just be separating the business from the rest of Gerresheimer (e.g., a "good bank / bad bank" situation). Selling this business would leave a pure-play leader in medical delivery systems and packaging that should trade at a much higher multiple (as shown earlier, peers like Schott and Aptar trade at ~11x EBITDA, nearly double Gerresheimer's current multiple); if Gerresheimer's multiple didn't expand, there would likely be takeover interest given firms like Silgan were willing to swallow the whole company before.
- **Ramp of GLP-1 volumes at expanded facilities.** A final uncertainty is the speed with which Gerresheimer's expanded facilities, such as Peachtree City, can ramp up utilization and profitability. This is indeed an unknown, but the positive is that the capex has been spent, so cash flow will begin to normalize either way. Also, Lilly and Novo continue to report strong uptake of injectable GLP-1s and as discussed earlier, the introduction of oral/pill forms hasn't impaired this trajectory.

^[1] A great track from Donald Fagen and Walter Becker's 1974 album *Pretzel Logic*. The singer is comforting a friend in distress, someone seemingly staring into the abyss, that circumstances are about to turn around. Essentially, it's always darkest before the dawn. Likewise, Gerresheimer's period of torment is about to end.

^[2] God knows no one reading this memo would ever own something that became "uninvestable"; we're all too smart to be seduced by an abject value trap, bet on the failed turnaround, or shack up with the wrong management team. But maybe a buddy has pitched you a stock with such a sordid history, you deemed it "uninvestable" and felt sorry for him that he owned it.

^[3] Gerresheimer received an unqualified audit opinion. Gerresheimer also filed restated financials for 2024.

^[4] See: <https://www.reuters.com/business/finance/us-packaging-firm-silgan-signals-interest-germanys-gerresheimer-sources-say-2026-03-20/> and <https://www.reuters.com/legal/transactional/gerresheimer-rejects-takeover-bid-us-packaging-firm-silgan-say-sources-2026-04-17/>.

Silgan is interesting because the company is effectively a public private equity platform that invests in packaging businesses. Run out of a modest Stamford, CT office, Silgan was founded by two former Continental Can Company executives (Phil Silver and Greg Horrigan—their last names form "Silgan") who carved-out Carnation Company's canning operations after its takeover by Nestle in the late 1980s. After expanding its metal food can business to the limit, Silgan began to invest in other adjacencies, including plastic packaging and dispensing businesses. This history is worth telling because Silgan's core competency is identifying and executing disciplined acquisitions that make sense financially and strategically, not empire-building.

^[5] In some sense, Owens-Illinois demonstrates how cheap Gerresheimer's multiple is because only ~35-40% of Gerresheimer's pro forma sales are moulded glass, comparable to Owens-Illinois, with the rest of Gerresheimer's portfolio higher-margin, higher-growth medical packaging. While sum-of-the-parts valuations can be squishy, Gerresheimer is undoubtedly a better collection of assets than Owens-Illinois and, post-divestitures, will have far lower financial leverage (<2.5x vs. >4x) and a superior financial model (e.g., growth and margins).

^[6] Short interest per Bloomberg. Interestingly, all of the shorts that are large enough to file their positions are quant funds. This may explain why they didn't hit the road when Gerresheimer addressed its accounting and leverage problems. Ironically, these same quant models may be waiting for the stock to appreciate *before* covering (momentum works in both directions).

^[7] After reporting its Q3 2025 results on October 10, 2025, Gerresheimer delayed its Q4 2025 results due in February 2026 to complete its restatement. Gerresheimer finally reported 2025 results on June 29, 2026.

^[8] See slide 5 of 2025 investor presentation:

https://www.gerresheimer.com/fileadmin/user_upload/user_upload/gerresheimer/ir/downloads/presentations/2025/2025-Analyst-Presentation.pdf.

^[9] See:

https://www.bafin.de/SharedDocs/Veroeffentlichungen/EN/Massnahmen/40c_neu_124_WpHG/meldung_220713_steinhoff_international_holdings_nv_gelc
BaFin's largest fines have been recent fines against banks related to AML violations: <https://www.bankingdive.com/news/bafin-levies-largest-ever-fine-against-jpmorgan/804894/>. The Steinhoff scandal was pretty amazing, with the company overstating profits by over \$7 billion over more than ten years: <https://gusto.com/partner-resources/fraud-case-study-steinhoff-international>.

^[10] See slide 17 of 2024 investor presentation:

https://www.gerresheimer.com/fileadmin/user_upload/user_upload/gerresheimer/ir/downloads/presentations/2024/Q4FY2024-Analyst-presentation_prot.pdf.

^[11] See: <https://www.gerresheimer.com/en/customer/company/news/detail/gerresheimer-to-acquire-blitz-luxco-sarl-the-holding-company-of-the-bormioli-pharma-group-strategic-reset-of-moulded-glass-business>. "Bormioli Pharma has a complementary portfolio of pharmaceutical primary packaging made of glass and plastic, as well as closure solutions, accessories, and dispensing systems. With this acquisition, Gerresheimer strengthens its European footprint with additional production sites, especially in Southern Europe, and underpins its market position as a leading full-service provider and global partner for the pharmaceutical and biotech industries. The acquisition is expected to be 50 to 100 basis points accretive to Adj. EBITDA margin in the near term and more than 10% accretive to EPS from the first year after closing."

^[12] Ibid.

^[13] See: <https://www.gerresheimer.com/cn/customers/company/news/detail/gerresheimer-to-separate-moulded-glass-and-intends-to-initiate-a-subsequent-sales-process>.

^[14] Gerresheimer's moulded glass segment faces both structural and cyclical headwinds. Glass production is naturally a capital-intensive business, which creates high operating leverage. Given the weakness in the segment's non-medical end markets—think food and beverage—and high energy and other production/delivery costs, profitability is under intense pressure. In hindsight, the strategy was like two drunks agreeing to hold each other up as they walk home from the bar.

^[15] See slide 10 of Q1 2026 investor presentation:

https://www.gerresheimer.com/fileadmin/user_upload/user_upload/gerresheimer/ir/downloads/presentations/2026/1Q26-Analyst-Presentation_2_.pdf.

[16] See: <https://www.gerresheimer.com/en/customer/company/news/detail/gerresheimer-ag-reschedules-publication-of-annual-and-consolidated-financial-statements-for-2025-and-initiates-sale-of-centor-inc>. Even if you haven't heard of Centor, you know its product—Centor is the largest maker of the ubiquitous amber pill bottles.

[17] See: <https://www.gerresheimer.com/en/investors/company/news/detail/gerresheimer-is-selling-centor-and-its-global-primary-packaging-plastics-business-to-apax-funds>.

[18] Ibid for revenue. See reports from UBS, Barclays, Deutsche Bank, among others. The segment that houses Centor and PPP reported ~23% margins, but Centor is an above-average business.

[19] For instance, from a July 30, 2026, Barclays report: “€1.5bn announced, but as per conversations with IR net proceeds after tax and transaction costs expected to be ~€1.4bn.” This memo assumes Euro 225 million of tax leakage for conservatism.

[20] For instance, Barclays estimates the following 2027E revenue mix: medical systems, 35%; tubular glass for medical, 16%; syringe systems, 11%; and moulded glass, 38%. See July 30, 2026, report.

[21] See slide 7 of Q1 2026 investor presentation: https://www.gerresheimer.com/fileadmin/user_upload/user_upload/gerresheimer/ir/downloads/presentations/2026/1Q26-Analyst-Presentation__2_.pdf.

[22] See pages 4-5 of 2025 annual report available here: <https://www.gerresheimer.com/en/investors/investors-and-analysts/publications/reports>.

[23] See: <https://www.reuters.com/business/healthcare-pharmaceuticals/gerresheimer-supplies-key-players-glp-1-drugs-market-ceo-says-2024-04-11/>.

[24] See: <https://www.reuters.com/business/healthcare-pharmaceuticals/weight-loss-drug-deals-drive-around-4-gerresheimer-yearly-growth-ceo-says-2024-03-29/>.

[25] See page 6 of 2025 annual report available here: <https://www.gerresheimer.com/en/investors/investors-and-analysts/publications/reports>.

[26] See: <https://www.reuters.com/business/healthcare-pharmaceuticals/weight-loss-drug-deals-drive-around-4-gerresheimer-yearly-growth-ceo-says-2024-03-29/>. “[Then CEO] Siemssen said he expects sales related to GLP-1 medicines to surpass 100 million euros this year [2024] and to reach at least 350 million euros (\$379 million) within the next three years, based on actual contracts and orders. ‘We are just at the beginning of the ramp up towards the total market for (these drugs), and the biggest growth you will see from 2025 to 2027,’ he said.”

[27] 2021: https://www.gerresheimer.com/fileadmin/user_upload/user_upload/Company/Investor_Relations/annual-report-2021/files/Gerresheimer_Annual_Report_2021_en_protected.pdf (see page 10). 2022: <https://www.gerresheimer.com/en/customer/company/news/detail/gerresheimer-2022-profitable-growth-company-boosting-revenue-and-adjusted-ebitda-growth-to-double-digit-levels>. 2023: <https://www.gerresheimer.com/en/careers/company/news/detail/gerresheimer-decisively-continues-on-profitable-growth-course-in-financial-year-2023>.

[28] From Tegus interview with global vice president pharma and biopharma injectables at Gerresheimer, leaving in October 2025. conducted on August 26, 2026.

[29] See Gerresheimer annual reports for these years available here: <https://www.gerresheimer.com/en/investors/investors-and-analysts/publications/reports>. Peer benchmarking is detailed in a later exhibit, based on data from Bloomberg.

[30] Peachtree City: <https://www.gerresheimer.com/en/customer/company/news/detail/gerresheimer-expands-capacities-for-medical-systems-in-the-usa>. Querétaro: <https://www.gerresheimer.com/cn/careers/company/news/detail/groundbreaking-ceremony-for-plant-expansion-in-queretaro-mexico>. Skopje: <https://www.gerresheimer.com/en/customer/company/news/detail/gerresheimer-builds-new-production-capacities-for-glass-syringes-at-skopje-site>.

[31] We can actually pinpoint the customer as Eli Lilly. Customs records of injection-molding equipment sent to Peachtree City listed product descriptions like the following: “INJECTION MOLDING SYSTEM FOR PLASTICS PROJEKT ELI LILLY IRMA R / IMM PLUNGER ROD WEIGHT KGS HS CODE”; see: <https://www.importinfo.com/gerresheimer-peachtree-city-lp>.

[32] From Tegus interview with global vice president pharma and biopharma injectables at Gerresheimer, leaving in October 2025. conducted on August 26, 2026.

[33] See: <https://www.axios.com/2026/02/04/ozempic-zepbound-wegovy-eli-lilly-glp1>. And see further discussion here: <https://www.reuters.com/business/healthcare-pharmaceuticals/novo-lilly-gain-signs-weight-loss-pills-could-expand-market-2026-05-07/>.

[34] See Lilly's August 5, 2026, Q2 2026 earnings call.

[35] For instance, Gerresheimer provided medium term organic revenue growth guidance of 6-9% in July 2025: <https://www.gerresheimer.com/en/investors/company/news/detail/gerresheimer-in-h1-2025-bormioli-pharma-boosts-revenues-and-earnings-continued-market-influences-in-operating-business>.

[36] All Gerresheimer data is pulled from annual reports for these years available here: <https://www.gerresheimer.com/en/investors/investors-and-analysts/publications/reports>. Peer benchmarking data is from Bloomberg.

[37] From Tegus interview with global vice president pharma and biopharma injectables at Gerresheimer, leaving in October 2025. conducted on August 26, 2026: “And that means that it might well be that in some cases the intellectual property belongs to the customer [e.g., Lilly], I would say. But in parallel, there are also agreements that the customer cannot just walk away from Gerresheimer for a period of, let's say, 10, 15, 20 years, depending a bit on the contract.” The expert did also say that these customers may have delayed the volume ramp, at least temporarily: “And what then happened is that, well, I think the drug uptake is a little slower than expected. And then I think that maybe Gerresheimer is not getting the volumes as originally expected from those different pharma players.” ... “I still

believe that, I take GLP-1 as the example, that that business will come as planned. Maybe the pharma companies that are in the segments kind of overstated the business expectations a bit at the start, but I'm sure that the volumes will come at a later stage."

[38] For instance, the framework could be an illusion because management is unwilling or can't separate businesses, estimates may overlook dis-synergies and/or stranded overhead, the analysis may conflate deal multiples with trading multiples, and so on.

[39] There are more examples of this phenomenon in paper packaging, where there were many conglomerates operating across sectors such as printing and writing paper, boxboard, containerboard, etc., but examples also exist in the flexible and rigid packaging space, such as the can makers and many plastic packagers.

[40] See Barclays July 30, 2026, report.

[41] See: <https://www.reuters.com/business/finance/us-packaging-firm-silgan-signals-interest-germanys-gerresheimer-sources-say-2026-03-20/> and <https://www.reuters.com/legal/transactional/gerresheimer-rejects-takeover-bid-us-packaging-firm-silgan-say-sources-2026-04-17/>.

[42] See: <https://www.bloomberg.com/news/articles/2026-08-28/astorg-montagu-said-to-eye-sale-of-glp-1-pen-maker-nemera>.

[43] See: https://www.linkedin.com/posts/nemera_looking-ahead-to-2026-2025-was-a-successful-activity-7422580740803956736-Bny0/.

[44] See slide 46 of October 2022 investor deck:

https://www.gerresheimer.com/fileadmin/user_upload/user_upload/Company/Investor_Relations/presentations/2022/2022_October_Gerresheimer_Inves

[45] See: <https://www.gerresheimer.com/en/customer/company/news/detail/uwe-roehrhoff-steps-down-as-interim-ceo-of-gerresheimer-ag>.

[46] Based on discussions with IR post Mr. Röhrhoff's departure.

[47] See: <https://www.gerresheimer.com/en/customer/company/news/detail/wolf-lehmann-to-take-over-cfo-position-at-gerresheimer-on-september-1-2025>.

[48] See August 27, 2026, Q1 2026 conference call and investor presentation available here: <https://www.gerresheimer.com/en/investors/investors-and-analysts/publications/presentations>.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Closing the sale of two business units for Euro 1.5 billion that will repair balance sheet to <3x. Along with a 2025 clean audit and return to normal public company cadence (timely earnings releases, focusing on business not covenants/accounting), Gerresheimer will go from "uninvestable" to "investable."
- Post divestures, the company's portfolio is mostly high-growth, high-margin businesses with one laggard asset that is slated to be sold. Valuation multiples will expand to reflect higher quality portfolio vs. 6x EBITDA multiple today.
- Larger peer Silgan offered to acquire Gerresheimer for Euro 41 per share in March 2026, a nearly 50% premium to the current share price. While a takeover isn't required, M&A is definitely possible as the company re-focuses and becomes a pure-play.
- ~24 days of trading volume is sold short; short sellers had a winner but now have over-played their hand. The shorts that are large enough to file are all quants, so they may start to cover after stock starts to work.

Messages

Subject Great structure in your write-up
Entry 09/08/2026 09:06 AM
Member Chalkbaggery

I've always enjoyed reading your work.

I looked at this in Summer 2024 (an eternity ago given this stock's various developments since then) and couldn't get there due to the aggressive growth CapEx paired with vague disclosure on the incremental ROIC, this is a great reminder to revisit it.

Subject GLP-1s
Entry 09/08/2026 01:41 PM
Member ATM

Thanks for the interesting write-up. I've been watching this for some time. I'm a little concerned about the oral GLP-1s and how that will impact demand here. Have you been able to figure out how a world where overall GLP-1 market goes to 30% to 40% oral would impact demand for GXI and the ability to fill up its capacity? My sense is that existing GLP-1 patients that are using injectable will probably stay on that modality - especially since weight loss has been notably better with the injection. That said, I think there are a lot of new users who will pick oral dosing over time.

Subject Re: GLP-1s
Entry 09/08/2026 03:34 PM
Member Sarelam34

Thanks for the message. This was a threshold question for me and I did get comfortable with the risk. I did try to address that question in the write up, because I had the same intuition about the pill. Lilly management recently spoke to this during their August earnings call (see text below). Obviously I can't prove that there isn't *some* cannibalization, but the indications suggest that cannibalization is far less than 1:1. I didn't discuss it in the write-up, but you should consider that the U.S. penetration of GLP-1s in diagnosed obese and type 2 diabetes is only ~25-50% (it's higher in diabetes because it was approved earlier; these are the higher (i.e., more conservative) penetration estimates -- I've seen levels as low as 10-15% penetration reported). So penetration is likely to expand. On top of that, GLP-1s will likely add new indications (from approvals and label expansions, such as MASH and cardiovascular indications). If the majority of users prefer injectibles and penetration/indications expand, this suggests that the market will need autoinjectors, pens, etc. in the future (all forms of GLP-1 injectible device/package is disposed of daily or monthly in some cases). I hope this helps!

Lilly's CFO during the Q2 2026 earnings call: "the early uptake of oral GLP-1s has been encouraging, expanding the market of people who are taking incretin therapy. Additionally, injectable incretins continue to be an important growth driver and account for three out of four new patient starts." And Lilly's EVP on the same call: "we're seeing a significant preference towards injectable, probably around 80% of people that are getting treatment are injectable, but we're seeing new patients for both."

Subject Re: Re: GLP-1s
Entry 09/08/2026 07:26 PM
Member dannny

Agree with this - I think earlier in the year this was the main debate with the Wegovy ramp, but ultimately the sudden ramp was driven by pent-up demand (needle-averse) rather than cannibalization, evident by the new-to-drug mix and the current plateauing (even after Foundayo). LLY, TMO, 1SXP, BDX, WST, & STVN mgmt. seem to agree.

I think a more relevant risk would be single-dose to multi-dose injectables (goes from PFS to cartridges), which I'm curious on your thoughts on that.

Subject Losing share?
Entry 09/08/2026 07:36 PM
Member dannny

IIRC, GXI lost a major syringe customer (likely LLY) in their North Macedonian facility, which went to STVN. Feels like most cos levered to LLY volume will have their lunch eaten as STVN ramps up their IN location (right next to LLY's HQ).

NVO only has GXI and STVN as validated suppliers, so I guess GXI can keep / gain share there?

Additionally, as the industry shifts from bulk vials (GXI ~20% share) to RTU vials (90% of the mkt is STVN & 1SXP), is that not likewise bearish on GXI? This is especially true as NVO has been planning a 10yr shift of all their bulk cartridge sites to RTU.

Please fact check - it's been a while. Would love your thoughts.

Subject Re: Losing share?
Entry 09/08/2026 08:30 PM
Member Sarelam34

I don't know the exact shares in RTF vials and cartridges. I do agree that Gerresheimer had a large legacy share of bulk vials (at a cap mkts day in 2022 they said ~30% share). However, they have been investing in and improving mix in RTF vials. This was a big part of the investment in the Queretaro Mexico plant (Gerresheimer discussed these investments in Q1-25 conference call and I did an interview with a former head of Mexico recently who said RTF has been a successful growth strategy). The punchline is that Gerresheimer was late, but has been participating in the RTF penetration in vials and in cartridges. Stepping back, I think producers need multiple suppliers. I don't think Gerresheimer is as strong as either Stevanato nor Schott, but they are a very credible global supplier and Lilly, Novo and other drugmakers should want more than two players. Hope that helps.

Subject Re: Re: Losing share?
Entry 09/08/2026 09:07 PM
Member dannny

I guess pushback from that is that NVO has pulled out from validating a third supplier (though GXI is one of the existing two) ([Alphasense](#)). Likewise, it seems that the major fill-and-finish players are ramping up capacity with much more capex than GXI.

I like the idea, but I'm not quite sure how this pitch works without the injectable biz ramping. LMK thoughts - could be wrong.